



Qualys Inc (QLYS) — Research Summary

Technology | Software - Infrastructure | 2026-10-07

Price: \$194.75

Signal: BUY (7.52/10)

Market: bull_tech

Equity Research Summary: Qualys Inc (QLYS)

Sector: Technology — Software (Infrastructure) | **Price:** \$194.75 | **Market Cap:** \$6.9B

52-Week Range: \$74.51 – \$204.41

1. COMPANY OVERVIEW & INVESTMENT THESIS

Qualys is a cybersecurity company specializing in cloud-based vulnerability management, compliance, and threat detection—helping enterprises identify and fix security weaknesses across their networks. The stock is compelling right now because it combines consistent earnings beats, high margins, and strong cash generation at a time when AI-driven security concerns are pushing fresh capital into the cybersecurity sector.

2. FUNDAMENTAL SNAPSHOT

Valuation: Qualys trades at a trailing P/E of 34.6x, falling to a more reasonable 21.9x on a forward basis—signaling the market expects continued earnings growth. The price-to-sales ratio of 10.0x is elevated but typical for profitable software names. Enterprise value sits at \$6.0B against roughly \$0.3B in EBITDA.

Earnings Trend: The company has beaten expectations in all four of the last quarters, with margins of surprise ranging from +5% to +23%. The most recent quarter (June 2026) delivered EPS of \$1.56 versus a \$1.27 estimate—a 22.8% beat. This is a clear, consistent pattern of outperformance.

Revenue & Margins: Revenue growth is modest at roughly 4% year-over-year—the main weakness in an otherwise strong profile. However, profitability is exceptional: gross margins of 83.4%, operating margins of 34–36%, and a net profit margin near 29.4%.

Balance Sheet: Rock-solid. With \$0.4B in cash against only \$0.1B in debt, Qualys is in a net cash position with a very low debt-to-equity ratio of 0.09.

3. TECHNICAL OUTLOOK

Range Position: The stock trades near the top of its 52-week range, at about \$194.75 versus a high of \$204.41—meaning shares sit near historic highs after a powerful run (up roughly 84% over six months earlier in the year).

Momentum: Momentum has been strong but is showing signs of cooling. A recent broad selloff in high-valuation software (late September) pulled shares back from their peak, suggesting near-term volatility as investors question stretched valuations.

Levels to Watch: Resistance sits near the 52-week high around \$204. Support is less defined given the sharp climb, but buyers may step in on pullbacks toward the \$170s, a zone that acted as a base in mid-September.

4. NEWS & SENTIMENT

Overall Sentiment: Slightly Bullish

Three key themes dominate recent coverage:

- **AI-driven tailwinds:** Multiple articles highlight Qualys as a top cybersecurity pick amid rising concerns over AI safety, positioning the company to benefit from increased security spending.
- **Valuation debate:** Analysts are split—some argue the stock is ~21% undervalued on cash flow, while others warn it may be ~6% overvalued as the AI narrative inflates expectations.
- **Sector rotation volatility:** Qualys has swung with the broader software group, soaring on rotation into SaaS names and then falling sharply when elevated valuations triggered profit-taking.

The market narrative is one of a high-quality, cash-generative business caught between genuine fundamental strength and concerns that the price has run ahead of its modest growth rate. Notably, the analyst consensus target of \$179 sits *below* the current price, implying slight downside from here.

5. BOTTOM LINE

Aerondight Systems Signal: BUY (7.52/10)

Thesis: Qualys is a highly profitable, cash-rich cybersecurity leader riding strong AI-security demand, though slow revenue growth and a near-peak share price warrant caution.

Upcoming Catalyst: The next quarterly earnings report—given the company's streak of beats, another strong result could reignite momentum.

Risk Level: Medium — The business is financially solid with low volatility (beta 0.60), but the stock trades near all-time highs, carries a premium valuation, and faces an analyst consensus target below its current price. Modest revenue growth is the key limiting factor to watch.

For public distribution. Based on publicly available information. Not individualized investment advice.

Generated by Aerondight Systems Quantitative Research Platform. This summary is for informational purposes only and does not constitute investment advice.